1. Size of Business

1.1. Different methods of measuring size

1. Number of employees
    1. The size is measured upon the basis on number of workers employed.
    2. Problems- a firm may be capital intensive, making this method insubstantial.
2. Revenue
    1. Used to compare businesses of same industry
    2. Depends on the total value of sales made.
    3. Problem – less effective when comparing high-value and low-value firms.
3. Capital employed
    1. Depends on the total value of long-term finance available in the business
    2. Problem – can't be used to compare firms in different industries
4. Market capitalisation
    1. Market capitalisation = current share price * total number of shares issued
    2. Limited to public limited companies
    3. Problem – share prices change on a daily basis making the comparison unstable
5. Market share
    1. Market share = total sales of business/total sales in industry * 100
    2. Problem – if the total market is small, results will not be accurate

1.2. Measuring business size

Best form of measurement

- No 'best' measure
- To choose which method to use, we need to know if we are interested in absolute size or comparative size.
- Absolute size — *used when looking at one business on its own*. You measure it with at least two criteria (e.g. sales revenue, number of employees, market capitalisation, output, capital employed). No comparison needed.

  Comparative size — *used when you have two or more businesses*. You compare them using the same criteria to show which one is larger.
- Measures used will depend on the industry or specific business.

Problems while measuring businesses:

- There are many different methods to measure business size and each method gives us different answers.
- There is no internationally agreed definition on the size of a business.

1.3. Small and micro-businesses

Significance of small and micro-businesses

- Benefits of encouraging development of small and micro-businesses:
    - Many jobs created as small businesses won't have funds to buy capital equipment
    - Often run by dynamic entrepreneurs. Provides greater variety.
    - Will create competition for large businesses. Discourage monopoly.
    - May provide specialist goods or necessities.
    - Helps them grow and become large.
    - Will have lower costs as no diseconomies of scale.

Government assistance for small businesses

- Governments may provide assistance to small businesses in the form of:
    - Reduced rate of tax.
    - Loan guarantee scheme.
    - Information, advice, support.
- Aid designed to overcome specific problems like:
    - Lack of specialist management expertise.
    - Problems raising finance.
    - Marketing a limited product range.
    - Finding cost-effective premises.

1.4. Small and Large Businesses

Advantages

Small Business	Large Business
Managed and controlled by owners	Ability to employ specialists
Flexible - adapt quickly to changes in demand	Can conduct thorough market research
Personal contact with employees and customers	Diversified risks
Offer personal service	Ability to sell at lower prices
	Economies of scale

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Disadvantages

Small Business	Large Business
Limited access to finance	Diseconomies of scale
Not diversifies, high risks	Divorce between ownership and management
Few economies of scale	Conflicts
Unable to afford specialists	Poor communication, slow decision making
	Difficult to manage and control

1.5. Family business

- These are businesses which are owned and managed by at-least 2 family members.

Strengths	Weaknesses
Commitment - family owners will show more dedication towards their work	Success/continuity problem - there might be failure within the family causing the failure of the entire business.
Knowledge continuity - families ensure they pass on the business knowledge to the next generation allowing experienced and skilled managers.	Informality - there may be many inefficiencies and internal conflicts as personal and professional life is not separate
Reliability and pride - as the family business will have their name and reputation, they try to improve quality at all times.	Nepotism may lead to inefficient management
	Traditional - they are reluctant to change (inflexibility)
	Conflicts - Family problems may affect business management

1.6. Business growth

Reasons for growth –

1. Increased profits
2. Increased market share
3. Economies of scale
4. Lower risks
5. Increased power and status
6. Ability to be more competitive
7. Increase value of business
8. Easy to access new target groups and markets

Internal growth

- It is expansion by expanding the existing operations
- It is cheap
- Avoids takeover problems
- Takes long time for results
- Limited extent of growth
- May not receive the desired outcome
- Ways for internal growth: -
  - Enter new markets
  - Increased marketing activities
  - Increase investment
  - Use newer techniques to produce more efficiently

1.7. External growth

- Merger: shareholders and managers of 2 firms come together with both owning shares
- Takeover: company buys more than 50% of another companies shares

Types of integration:

- Horizontal: same industry at same stage of production
- Vertical forward: same industry as a customer of existing business
- Vertical backward: same industry as a supplier of existing business
- Conglomerate: different industry
- Friendly merger: takeover with consent of the target business
- Hostile takeover: takeover without consent of the target business

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Type of Integration	Advantages	Disadvantages	Impact on Stakeholders
Horizontal Integration - merging with companies in the same industry and production stage	• Removes one competitor • It can be used to reduce the costs by increasing production efficiency • Greater control over suppliers by being a larger business	• Reducing costs may lead to negative publicity • Could trigger monopoly investigations if the market share becomes too large • Customers might oppose the brand because of the merger resulting in potentially lower number of choices and competition	• Consumers have fewer choices • It might result in redundancies due to cost-cutting • Workers might be demotivated due to fall in job security
Vertical Integration (Forward) - merging with a business in the same industry that is a customer	• Control over product promotion and pricing • Secure a market for your products, eliminating the need for competitors' products	• Customers might view this negatively if it reduces competition • Lack of experience in this sector can lead to problems	• Workers will potentially have better job security due to secure outlets • Employees might be more motivated due to higher job security resulting in an increase in efficiency • More varied job opportunities, but possible customer dissatisfaction due to less choice
Vertical Integration (Backward) - merging with a supplier in the same industry	• Better control over quality, pricing, and delivery • They can collaborate on research and development	• The firm might lack experience managing a supplier • A successful producer might not be a good manager of supply chains	• Possible career growth for workers • Consumers may benefit from better quality products • Supplies may be more reliable but could limit competition
Conglomerate Integration - merging with a business in a different industry	• It helps diversifies the business, reducing reliance on one industry and mitigating risk • It spread risk across different markets, making the business more secure	• Business can lack sufficient experience in the new industry • It can lead to loss of focus on the core business	• Career opportunities may increase due to the variety of industries • Consumers may have access to a wider range of products, but the company's focus might become diluted

1.8. Financial Problems and Solutions of Growth Through Mergers/Takeover:

Potential Major Issues:

- Takeovers can be costly.
- Possibly, more fixed&working capital might be needed.
- It can lead to borrowing of long-term loan, equipped with interest payment, leading to negative cashflow in the beginning.

Potential Solutions:

- Usage of internal sources of finance whenever possible.
- Providing the necessary capital from issues of share.
- Offering equity or share rather than cash to the seller.

Managerial Problems and Solutions of Growth Through Mergers/Takeover:

Potential Major Issues:

- Existing management might suffer from diseconomies of scale due to rapid rise in business size.
- Lack of coordination and teamwork between divisions of now expanded business.
- Clash of culture between two management.

Potential Solutions:

- Policy of delegation and empowerment alongside new managerial order and system appropriate to the expanded firm.
- Help manager motivate by giving them a clear focus through means of decentralised policies.
- Rapid modification in management culture.

1.9. How new Merger/Takeover can achieve their objectives:

- Better results due to sharing of research and ideas between the now integrated business.
- Achievement of economies of scale, reducing average cost.

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- Usage of same sale outlet and team increasing effectiveness of cost-saving and decreasing need of high budget for marketing team.
- It helps decrease expenses through means of rationalisation of assets.

Why new Merger/Takeover can fail to achieve their objectives:

- The combined business experiences diseconomies of scale because of becoming too big thus way harder to manage.
- The custom and culture of integrated business may vary significantly which can hamper its coordination.
- Small advantages might be seen from the research and marketing facilities if business originally produced products different from the integrating business.
- Directors might find rapid growth rate too hard to operate effectively.

1.10. Joint ventures and strategic alliances

Importance of joint ventures:

- Costs are shared
- Risks are shared
- Different strengths can fit together
- Differing markets can increase potential consumers

Importance of strategic alliances:

- Can create rapid growth
- Leads to innovation
- Enter new markets
- Share ideas and resources

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